CORAM: HER HONOUR HALIMAH EL-ALAWA ABDUL-BAASIT (MRS), JUDGE, SITTING AT THE CIRCUIT COURT, DANSOMAN-ACCRA ON THE 8TH DAY OF APRIL, 2025.

SUIT NO.: CCD/C2/10/23

INEZ RENEE' FINLEY **PLAINTIFF**

VS

DELPHINA PREMPEH **DEFENDANT**

Parties present

Jane Tachie-Menson Esq for the Plaintiff absent

David Olaga Esq. with Caroline S. Obeng Esq. holding brief for Mavis E. A. Kwainoe Esq. for the Defendant present

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JUDGMENT

Background

1. On the 14/6/23, the Plaintiff issued a Writ of Summons and Statement of Claim from the Registry of this Court and she prayed for the following reliefs against the Defendant;
   (a) Payment of principle amount owed to Plaintiff – US$ 5,000.00/ GH₵62,500.00.
   (b) Damages for refusing to pay at the agreed date – US$ 500.00/ GH₵5,500.
   (c) Interest on the said amount at the prevailing commercial bank rate - US$800.00/GH₵8,800
   (d) Cost of instituting the present action - US$200/GH₵2,200.

(e) Any order/ orders the Court deems just to make in the circumstances.

2. The basis of Plaintiff's claim is that both parties are businesswomen residing in Cape-Coast and Dansoman respectively. Parties entered into a contract where the Plaintiff loaned an amount of Five Thousand United State Dollars ($5,000.00) to the Defendant on the 1st day of May 2022. The said Five Thousand United States Dollars ($5,000.00) was to assist with the growth and expansion of the Defendant's business. The parties agreed that the Defendant was to pay an interest of One Thousand Ghana Cedis monthly on or before the first day of every month when the loan is in force. The parties further agreed that the plaintiff could rescind the loan agreement anytime and upon rescinding the loan agreement, the full repayment of the loan along with any outstanding interest would be due in 30 days.

3. The Plaintiff averred further that the Defendant has refused to sign the Renewal Agreement which was due on the 1/05/23 and her refusal to sign the Renewal Agreement implies that the contract has expired and the loan repayment be made within 30 days as per the agreement in the contract. She averred further that the Defendant has refused and/or failed to make payment of the outstanding interest and the principal sum of Five Thousand United States Dollars ($5,000.00), and all efforts at getting her to pay has yielded no results as the Defendant has evinced blatant intention not to honour her obligation. The Plaintiff concluded by stating that the Defendant is in breach of the agreement and will not honour her obligations unless compelled by this Honourable Court to do so.

4. On the 10/7/23, the filed a Statement of Defence wherein she admitted some but denied most of the Plaintiffs averments in the Writ of Summons and Statement of Claim. It is the Defendant's case that she only received an amount of GH₵39,000.00 (Thirty – Nine Thousand Ghana Cedis only) from the Plaintiff about a year ago to augment her trading capital with the understanding that an interest of GH₵1,000.00 [One Thousand Ghana Cedis] is paid to the Plaintiff on monthly basis which has not been breached. Defendant added that she was furnished with a harshly and unreasonable contract by the plaintiff for her signature.

5. Defendant averred further that she has never executed any agreement in dollars and/or its cedi equivalent with the Plaintiff as erroneously alleged. Defendant concluded by stating that the action is premature as she has not been served with any notice for being in breach or a demand for a refund of the principle sum received from the Plaintiff. She stated again that the Plaintiff is not entitled to her reliefs or any at all and Counterclaimed for the following against the Plaintiff;
   (a) Cost of the whole litigation including the legal fees of the Defendant Lawyer.
   (b) Punitive and exemplary damages against the Plaintiff for the untimely and unilateral recession of this contract.
   (c) Any other orders as to the Court may deem fit.

6. On the 31/7/23, the Plaintiff filed a Reply and Defence to the Counterclaim wherein she averred that she gave an amount of Five Thousand United States Dollars (US$5,000.00) distributed in Fifty (50) One Hundred Dollar (US$100.00) dollar bills to the Defendant. Upon dissemination, the Defendant requested the Plaintiff to write down the Ghana Cedi equivalent which was GH¢39,000.00. The

conversation was that the repayment shall be the same in dollars. The Plaintiff averred again that the Defendant was late on the monthly payment and since she freely signed the agreement in the presence of witnesses, she cannot now complain that the agreement was harsh and unreasonable. She concluded by emphasizing on the fact that the present action in Court attests to the fact that Defendant is in breach and the Plaintiff is entitled to the reliefs as claimed in the Statement of Claim.

7. On the 9/8/23, the Plaintiff filed a Motion on Notice for Summary Judgment which was opposed to by the Defendant. The Application was heard on the 17/8/23, and the Court differently constituted ruled as follows; *'… I consider that the Plaintiff is entitled to an award of Judgment in the sense of the admission and considering that she is not represented by Counsel. This court guided by The Principle in* ***HANNA ASI (NO. 2) VRS GIHOC REFRIGERATION (NO. 2) [2007 – 2008] SCGLR 16],*** *that a court can grant a relief which a party is entitled to although not sought, is included to enter Judgment on admission of the part of the claim admitted by Defendant, that is the sum of Gh¢39,000.00. Matters of interest and other reliefs shall be determined at the end of the trial of this case, following any settlement. The Motion by Plaintiff is dismissed and instead an award for Judgment on admission entered…'*

8. Consequently, an Application for stay of execution was dismissed and the parties were referred to the Court Connected Alternative Dispute Resolution Centre to attempt an amicable settlement of issues but same was unsuccessful. At the Application for Directions stage the following were the issues filed both parties for determination;

(i) Whether or not the Defendant received the amount in Ghana Cedis or United States Dollars.

(ii) Whether not the Plaintiff had the capacity to terminate the subsisting agreement/contract.

(iii) Whether or not any of the parties is in breach of the agreement.

(iv) Whether or not the Plaintiff is entitled to the reliefs as endorsed on the Writ of Summons?

(v) Whether or not the Plaintiff gave a loan amount of (Thirty-Nine Thousand Ghana Cedis to the Defendant subject to the payment of an interest of One Thousand Ghana Cedis (Ghc1, 000.00) on monthly basis.

(vi) Whether or not the Defendant has paid up all the interest of One Thousand Ghana Cedis (Ghc1, 000.00) to the Plaintiff on monthly basis without breach.

9. In the case of **Nsowaa and Another vs. Bamba and Another**; Suit No. J4/11/2016 [2017] GHASC 6, 26/01/2017 where Anin Yeboah JSC (as he then was) guided the Courts on how to go about adopting issues for the trial at the direction stage as follows: *'… we are also of the opinion that although the Judge who presides over the hearing of the applications for directions has an important role to play in directing the future course of the trial for the purpose of moving the action towards a more expeditious disposal, having regard to the critical role that directions play in our jurisprudence, he is required to offer an opportunity to the parties through counsel before pronouncing in the matter as he did…'*

10. In the instant case, both parties filed issues for trial as stated above, however, the said issues as enumerated above may be refined in order to determine all the issues herein conclusively. Some of the issues proposed can be merged with others. In **Nsowaa and Another vs. Bamba and Another** (supra), the Court held that Judges must carefully shape and adopt issues raised by the pleadings for the ultimate determination of the matters at stake. It is thus the position of the law that only those issues which are germane to the determination of a case must be decided by the Court and not all issues concerning the dispute although the parties might have led evidence on them. (See **Michael Tetteh Anguah vs. Centre for Plant Medicine Research, Graphic Communications**; Suit No. AC/804/2015) 7th November, 2016).

11. As such, upon consideration of all processes filed in this matter in this matter, I modify the issues adopted with the view to achieving substantial justice as follows:

    (i) Whether or not the loan amount was Thirty-Nine Thousand Ghana Cedis (Ghc39, 000.00) or Five Thousand United States Dollars (US$5,000.00).

    (ii) Whether or not the Defendant and/or the Plaintiff is in breach of the agreement.

The Burden of Proof in Civil Cases

12. With the law regarding the burden of proof in civil cases, it is trite that in civil cases, the burden of proof on a party in a civil suit is on a balance of probabilities. In other words, a party cannot win a case based on allegations s/he fails to prove or establish. So that a party who makes allegations has the burden to lead evidence to prove those allegations unless they are admitted by the other party. (See

Okudzeto Ablakwa (No.2) vs. Attorney General and Another [2012] 2 SCGLR 845. Similarly, in **Yorkwa vs Duah** [1992 - 93] **GBR 278,** Brobbey JA (as he then was) stated that in civil cases, *the obligation to adduce evidence should first be placed on the plaintiff. The onus of adducing evidence thus first lies on the plaintiff to adduce sufficient evidence to prove the fact… (*See also Sections 10 to 17 of the **Evidence Act**, 1975, NRCD 323). Similarly, a Defendant who counterclaims must also lead evidence to substantiate his allegations unless they are admitted by the other party. Failure to prove his claims may result in the Counterclaim being dismissed.

Analysis

13. The first issue for determination is **whether or not the loan amount was Thirty-Nine Thousand Ghana Cedis (Ghc39,000.00) or Five Thousand United States Dollars (US$5,000.00).** The Plaintiff in her Witness Statements which was adopted as her Evidence in Chief, testified that in paragraphs 5 to 8 as follows; *'…around late March 2022, the Defendant contacted me about a possible business opportunity. She asked for a loan of $5,000 dollars, and in exchange she would pay me monthly interest payments of 1,000 cedis. I gave the Defendant's offer serious consideration, then drafted a basic contract to be signed by us, and our witnesses upon distribution of the loan. I drove from Cape Coast to Accra to meet with the Defendant on Saturday, April 30, 2022 to distribute the $5,000 US dollar loan. My witness, Olawale YahYah Malik was present, along with the Defendant and her witness. It was after dissemination of said loan, that the Defendant requested that I change the dollars to cedis. I made the change, explicitly stating that it didn't matter if I changed it from dollars to cedis that the loan was distributed in dollars and should be repaid as such…'*

14. With respect to the above testimony, Counsel for the Defendant subjected the Plaintiff to cross-examination and the following ensued;

Q: At the last Court date, you stated that you prepared Exhibit '1'?

A: Yes.

Q: Take a look at Exhibit '1', can you confirm that the said document emanated from you?

A: Yes.

Q: On the said document [Exhibit '1'], you have cancelled USD5,000.00 to GH¢39,000.00 and signed against it, is that correct?

A: Yes, I have struck out the 5,000.00 with USD remaining.

Q: So the 5,000.00 you cancelled, was it stated in Dollars or Cedis?

A: The amount I struck out is 5,000.00, however the 39,000.00 was distributed in dollars and not Cedis.

Q: You said that you have cancelled the 5,000.00, but the dollar sign there still remained and my question to you is at the time you were drafting this contract, what was the 5,000.00 to represent? Was it in dollars or in Cedis.

A: Again, 5,000.00 dollars, meant 5,000.00 dollars.

Q: So one is permitted to say that the cancellation of the 5,000.00 includes the sign that followed the 5,000.00, is that correct?

A: No.

15. It will be observed from above that the agreement between the parties was reduced into writing. This was captured in a Personal Loan Agreement, marked as 'Exhibit 1' and reproduced as follows;

PERSONAL LOAN AGREEMENT

This contract is an agreement between Inez Finley, henceforth known as "Lender", and Delphina Prempeh, henceforth known as "'Borrower".

39,000Gh

Lender will loan the borrower $5,0~~00 in U~~.S. dollars to assist with growth of current business located in the Dansoman area of Accra, Ghana. The loan will be furnished to the borrower on April 30th, 2022 and is to be in force for l calendar year.

Conditions for this loan is as follows:

- *Borrower agrees to make monthly interest payments of 1,000 Ghana Cedis on the first of every month while the loan is in force.*
- *Lender can rescind the loan at any time, and the full repayment of the loan along with any overdue interest payments will be due in 30 days.*

16. The said agreement was signed by both parties with their respective witnesses. It will be observed that the amount of $5,000 was cancelled and the amount of 'Gh39,000' was written with pen with a signature against it. It must be emphasized that the crux of the instant dispute is the fact that the Plaintiff claims to have loaned the Defendant an amount $5,000.00 but the Defendant insists she received the amount of Ghc39,000.00. This was captured during cross-examination of the Defendant by Counsel for the Plaintiff as follows;

> *Q: Tell the Court the denomination in which you received the funds from the Plaintiff?*
>
> *A: In cedis [¢].*
>
> *Q: I put it to you that you received the funds from Plaintiff in USD.*
>
> *A: No. I have a Forex Bureau right beside my shop and the Plaintiff came to my shop with Dollars and on the said date. I asked the Plaintiff to change the denomination into Cedis, as I work in Ghana and deal in Cedis. The Cedis amount in that time was GH¢39,000.00 which the Plaintiff crossed the Dollars out on the agreement form to GH¢39,000.00 and signed against it.*

17. It will be observed that there are Two (2) sides of the story and the Court in a bid to determine whose version is probable, there is the need to scrutinize the said contract executed by both parties which is the Loan Agreement marked as Exhibit '1'. According to Christine Dowuona-Hammond, **The Law of Contract in Ghana,** 2016 at page 3, *'… contracts are essentially about promises and undertakings. The distinguishing feature of contractual obligations is that they are not imposed by the law but are rather undertaken by the contracting parties voluntarily. A party is bound by a*

contract only because he/she has voluntarily undertaken to do or not to do something, in which case if he/she performs that thing badly, or fails to perform at all, the party to whom the promise was made can have a cause of action against him/her for breach of contract…'.

18. In the instant case, upon a careful scrutiny of Exhibit '1', the Personal Loan Agreement executed between the both parties, the Court observes some ambiguity in the wordings of the agreement. It is trite that in law, ambiguity of clauses refers to situations where the language or terms of a legal document, such as a contract, **are unclear or open to multiple interpretations**. This can occur due to vague wording, conflicting provisions, or incomplete explanations. Ambiguities can therefore lead to misunderstandings between parties and disputes over the intended meaning of the clause. When such legal ambiguities arise, the duty of the Court is to rely on principles of interpretation to construe the Agreement.

19. The said Exhibit '1', the Loan Agreement, at paragraph 2 line 1 where '$5,000' has been cancelled and in its stead '39,000Gh' has been written and a signature against it. Thus, the sentence reads; ***'Lender will loan the borrower $5,000 39,000Gh in U.S. dollars…'*** In this instance, the ***'Contra Proferentem Rule'*** is applicable and same shall be relied on by the Court. The Contra Proferentem Rule is a legal principle used in the interpretation of contracts and other documents. The rule states that if there is ambiguity in the wording of a contract, it should be construed against the party who drafted it. Generally, it is the responsibility of the party relying on the clause to show that the words used are sufficiently explicit to exclude his liability for the event which has occurred. If the words are in any way ambiguous, they will be construed in favour of the other party and not the one who seeks to rely on it. (See **Dowuona-Hammond** (supra) at page 163). Essentially, the idea is that the

person who created the unclear language bears the responsibility for its consequences, as they had the opportunity to express themselves clearly. (See **Andrews Bros (Bournemouth) Ltd v. Singer & Co Ltd** [1934] 1 KB 17)

20. In the instant case, it is unclear what exactly the intention of the Plaintiff, who is the drafter of the Agreement as far as the loan amount is concerned. What is however certain on the face of the Agreement is that the amount of $5000 has been cancelled with the figure 39,000Gh written. More so, the agreement also includes a clause as follows; '… *Borrower agrees to make monthly interest payments of 1,000 Ghana Cedis on the first of every month while the loan is in force.* The Court observes as well as notes that the payment of monthly interest is to be made in Ghana Cedis and not in dollars. So that if the payment of monthly payment had been in dollars, then the Court would have presumed and/or assumed that the Plaintiff intended all monies payable under the agreement to be in dollars.

21. In spite of the above, the Plaintiff's witness, Olawale Yahyah Malik testified that he witnessed execution of the loan agreement between the parties. He specifically stated in paragraph 3 of his Witness Statement which was adopted as his Evidence in Chief as follows; *'… The Parties agreed in my presence and to my hearing that the Plaintiff was to give a Five Thousand U.S Dollars (USD5000.00) and it was agreed between the Parties that the Defendant was to repay the loan in United States Dollars…'* He testified further in paragraph '6' of his Witness Statements as follows; *'…after the written agreement had been signed and the Dollar bills had been handed over to the Defendant, the Defendant impressed upon the Plaintiff to state the Ghana Cedi equivalent of Five Thousand United States Dollars on the already signed agreement. The Plaintiff*

therefore reluctantly crossed out the Five Thousand United States Dollars and wrote Thirty Nine Thousand Ghana Cedis (GH¢39,000.00) in its place…'

22. The testimony of the Plaintiff's witness to a large extent indicates that he witnessed both parties making various statements and negotiations after the execution of the Agreement. The Court however observes that most of the statements and negotiations were not reduced into writing and were neither captured in the main Loan Agreement. It is trite that a statement made in the negotiation leading up to the making of a contract which does not qualify as a contractual term is said to be a mere representation. A mere representation is one which induces the other party to enter into the contract, but does not form part of the contract itself. In **Gross vs. Lord Nugent** (1835) 110 ER 713, Lord Denman CJ stated as follows; *'…if there be a contract which had been reduced into writing, verbal evidence is not to be allowed to be given of what passed between the parties, either before the written instrument was made or during the time it was made in a state of preparation so as to add to or subtract from or in any manner vary or qualify the written contract…'*

23. The general position of the law is that where the parties reduce their agreement into writing, the omission of certain representations made orally and not captured in the written Agreement may lead to the inference that the parties did not intend the representations to be a term of the contract. In **Routledge vs Mckay and Ors** [1954] 1 WLR 615, the Court held that since the written agreement made no mention of a particular representation, it had not been considered as a term. The Court further held that the buyer's claim for damages failed and on appeal, the Court of Appeal, the claim for damages again failed partly on the grounds that the statement was omitted from the written contract.

24. In recent times however, the law has been modified to include certain principles of law that apply to written contracts and one of such principles it the Parole Evidence Rule. The Parole Evidence Rule states that were an agreement is reduced into writing, the contents of the said agreement are conclusive and extrinsic evidence will not be admitted to change the terms of the written agreement. Extrinsic evidence is basically information that comes from outside a legal document or agreement. In the case of **Motor Parts Trading Co vs Nunoo** [1962] 2 GLR 195, the Court held as follows; *'… when a transaction has been reduced into or recorded in writing by agreement of the parties, extrinsic evidence is in general inadmissible to contradict, vary, add to or substract from the terms of the document…'* (See also the case of **Wilson vs Brobbey** [1974] 1 GLR 250).

25. From the foregoing and upon a critical examination of the contents of the Personal Loan Agreement, the amount captured remains Ghc39,000.00 since the amount of US$5,000.00 had been cancelled. Although, there were certain representations made and agreed to by both parties, the said representations were not reduced into writing and/or captured by Exhibit '1', the Personal Loan Agreement. As such upon the examination of all processes before this Court and the evaluation of the totality of the evidence on record, I find that the loan amount as captured by the Personal Loan Agreement was Ghc39, 000.00 and not US$5,000.00.

Written Contracts and the Parole Evidence

Issue Two

26. The second issue is **whether or not the Defendant and/or the Plaintiff is in breach of the Loan Agreement.** A breach of contract occurs when one party fails to fulfill

their obligations as outlined in a legally binding agreement without a valid excuse. This can include not performing a promised action, delaying performance, or behaving in a way that contradicts the terms of the contract. Generally, the terms of an agreement define the scope and extent of the obligations undertaken by the parties to the agreement. In the course of negotiations leading to the formation of a agreement, the parties involved may make a number of statements which may form part of the contract. If a statement forms an integral part of a contract, it is said to be a term of the contract such that when it is breached, the innocent party is entitled to sue for damages for breach of contract. (See **Dowuona-Hammond** (supra) at page 163).

27. However, to make a determination on whether there has been a breach of the agreement by either or both parties, there is the need to first ascertain whether the Loan Agreement executed by the parties is still binding. In **Re Timber and Transport Kumasi-Krusevac Co. Ltd; Zastave v Bonsu & Anor** [1981] GLR 256, Sowah JSC, delivering the unanimous judgment of the Court and particularly on whether an agreement was still binding said as follows; *'…The principle which emerges from a long line of decisions is that where one party manifests a clear intention to be no longer bound by the terms of his contract or where he openly repudiates it, the innocent party may treat the contract as at an end and seek such remedies as are open to him. Where the breach hits at the root or substance of the contract, in other words, where the breach is fundamental, the innocent party may accept the breach and treat it as absolving him from his own obligations under the contract. The question whether a breach is fundamental is, of course, for the court to determine…'*

28. To determine if the agreement is still binding, there is the need to carefully scrutinize the contents of the said agreement. As stated earlier, the parties herein reduced their agreement into writing and same is Exhibit '1' which has been headed as Personal Loan Agreement. The said agreement includes certain terms which the parties and their witnesses appended their signatures to. It is however observed that the Agreement does not include specific provisions/clauses required of a regular contract such as termination clause, date of repayment, dispute resolution mechanism, among others. The absence of clauses reflecting the intention of the parties in the parties' Loan Agreement ('Exhibit 1') makes it extremely difficult for the Court to arrive at a conclusion of whether the Agreement is still binding on both parties.

29. The above notwithstanding, I shall proceed to determine whether the Defendant is in breach of the Agreement. Although the Agreement is not specific on the date for repayment, a term of the Agreement states; '… *the loan will be furnished to the borrower on April 30th, 2022 and is to be in force for l calendar year…'* The question on the mind of the Court is what the intention of the Plaintiff was as at the time of drafting the above mentioned clause so as to ascertain whether the Defendant is in breach of a term of the Agreement. In arriving at the intention of parties to an Agreement, there is the need to subject the Agreement to interpretation. In the case of **Biney vs. Biney** [1974] 1 GLR 318, the Court held that; '…*the object of all interpretation of a written instrument is to discover the intention of the author, the written declaration of whose mind it is always considered to be. Consequently, the construction must be as near to the minds and apparent intention of the parties as is possible, and as the law will permit…'*

30. Again, in the Supreme Court case of **Nana Yaw Osei v. Ghanaian Australian Goldfields Ltd.** Supreme Court Civil Appeal No. 5/2002, 22/01/2003, the Court held that the rule established was that the document must be read as a whole to effectively ascertain the intention of the parties. The Court further stated that words should be given their **plain and natural meaning** within the context in which they are used. A Court must therefore look at all necessary provisions within the said contract; consider the entire context of the contract before the intention of the parties regarding the clause in contention can be ascertained. To my mind, the plain and natural meaning of the clause
'*… the loan will be furnished to the borrower on April 30th, 2022 and is to be in force for l calendar year…,* implies that the loan shall subsist from 30/4/2022 up until 30/4/2023.

31. However, making provision for the subsistence of a loan is different from including a clause which specifically states the date of repayment of a loan. It is trite that every standard loan agreement must specifically provide for the date of repayment of the loan amount but this instant Agreement fails to make such provision. Additionally, I have scanned through the entirety of the record and nowhere has it been stated by either party that there was an agreement as to the date in which the loan ought to be repaid. I however note that in paragraph 9 of the Plaintiff's Writ of Summons and Statement of Claim, the Plaintiff averred as follows; *'… in refusing to sign the renewal Agreement, it implies undoubtedly that the contract is expired and the loan repayment is to be made within 30 days as per the agreement in the contract…'* The averment of the Plaintiff seems to suggest that in drawing up the Agreement, the parties may have made certain representations as far as the renewal agreement is concerned.

32. However, this was not captured in the Agreement (Exhibit '1') and as stated above, once the Agreement did not include the provision for a 'renewal Agreement' the assertion of the Plaintiff remains a mere representation. So that in so far as the parties did not include the requirements of a Renewal Agreement in the Personal Loan Agreement, same cannot be interpreted to include a Renewal Agreement. What the Agreement captured however is as follows; '… *Lender can rescind the loan at any time, and the full repayment of the loan along with any overdue interest payments will be due in 30 days…'* To my mind, the plain meaning of the above mentioned clause is that unless and until the Plaintiff rescinds the loan, payments shall not be due but such payments shall be due only when the Plaintiff rescinds the loan. There is however no evidence on record to show that the Plaintiff has since rescinded the loan although the institution of the instant suit may be interpreted as a rescission of the Loan Agreement.

33. Another condition of the Agreement is that '… *borrower agrees to make monthly interest payments of 1,000 Ghana Cedis on the first of every month while the loan is in force…'* The plain and ordinary meaning of the above clause is that the Defendant is to continuously make monthly interest payments of Ghc1, 000.00 whilst the loan was in force. The evidence on record however shows that the Defendant has since made some payments of the interest. On the 17/8/2023 when the Plaintiff was arguing her Motion for Summary Judgment, she stated among others that *'… the defendant agreed to pay Gh¢1,000.00 per month which she committed herself to on twelve occasions…'.* Again during cross-examination of the Plaintiff by Counsel for the Defendant, the following was captured by the records;

Q: The said loan that was given was to attract a fixed interest of GH¢1,000.00 is that correct?

A: Yes, my lady.

Q: Until the institution of this instant action, did you or have you received the said monthly interest from the Defendant?

A: Yes, my Lady.

34. From the foregoing, the evidence on record shows that per the parties' Agreement, the Defendant was to pay an amount of Ghc1,000.00 as monthly interest of which she has so far made Twelve (12) payments to that effect. The following was captured during cross-examination of Defendant by Counsel for the Plaintiff;

Q: You stopped paying to the Plaintiff the interest of the GH¢1,000.00 is that not so?

A: I paid her GH¢1,500 after the Dollar started going up and she came to me requesting an increase in payment even before the 1 year was up. So that itself defies the contract.

Q: Kindly show the Court the paragraph that shows you paid the Plaintiff an interest to of GH¢1,500.00.

A: I can provide MoMo statement to that fact.

Q: Can you tell the Court why you stopped paying interest on the loan?

A: I was advised by my Lawyer to stop paying as we were in Court.

35. It is the position of the law that the parties to an agreement must comply with the terms of their agreement. In the case of **Wilson vs. Brobbey** [1974] 1 GLR 250, the Court held that *'…where parties had embodied the terms of their contract in a written document, extrinsic or oral evidence would be inadmissible to contradict, to add to, vary, subtract from or contradict the terms of the document…'*. (See also **Motor Parts Trading Co vs. Nunoo** (supra). So that insofar as there is no evidence on record to establish that the Defendant has continuously made payment of the interest as agreed by the parties, the Defendant's default of the above mentioned clause of the Loan Agreement was effective in May 2023 until the date of final payment of the principal loan amount.

36. It will be recalled from above that one of the issues for determination was on the loan amount of which the Court has since determined that the principal loan amount stands at Ghc39,000.00. It is important to state that on the 17th of August 2023, the Court entered a Judgment on Admission against the Defendant in the sum of Ghc39, 000.00 and the Court ordered the Defendant to pay same. The evidence on record shows that in January 2024, the Court clarified the Judgment debt to be Ghc39,000.00 following an Application seeking for a clarification of the Judgment on Admission.

37. The Plaintiff as part of her reliefs is however seeking for the Defendant to make payments of interest on the said loan amount. It was however established during trial that the Plaintiff is an unlicensed money lender and the question on the mind of the Court is whether unlicensed Individual Money Lender can enforce an interest? It is trite that individual money lenders can dispense money to another person in so far as there is a voluntary agreement between the lender and the

borrower. It has been stated further that in so far as the parties have voluntarily entered into an agreement, the duty of the court is to give effect to the terms voluntarily agreed by the parties.

38. However, a school of thought holds that permitting an unlicensed money lender to charge interest may result in encouraging people to engage in illegal lending business. Proponents of this school of thought argue that a person who lends money to people without an operating lending license must be deprived of any interests accruing on the principal amount lent. In **Ahenfie Cloth Sellers Association vs Philomena Mensah and Ors;** Civil Appeal No. J4/7/2010 [2010] DLSC2545, the Supreme Court held that where loan agreements are entered into at a time when the lender was unlicensed, the absence of a lending license does not invalidate or void the transaction. Relying on the then Moneylenders Act, 1941 (CAP 176), the Court held further that where a lender is unlicensed, any transaction entered into between the lender and a borrower should be re-opened only where the court finds that "the interest charged on the amount lent is harsh and excessive and therefore unconscionable. In other words, the Supreme Court held that the absence of a license in itself will not deprive the lender of interest even when the agreed interest rate is unconscionable.

39. In spite of the above, in the case of **Royal Beneficiaries Association v Esther Okailey Asare and Ors;** Suit No: H1/191/2013; [2015] DLCA5139, the Court of Appeal held that the trial court erred when it failed to consider that the court of equity would not allow "unjust enrichment to allow the respondents who knew that the loan had been sourced from the Ghana Commercial Bank to make use of

it and refuse to pay back at the least the principal amount". Again, in the case of **City & Country Waste Ltd v. Accra Metropolitan Assembly**, [2021] GHASC 15 (31/03/2021), the Supreme Court opined that the court deemed it imperative to balance the need to deny enforceability to the contract against the need to prevent unjust enrichment of the defendant as the interest of justice requires that the courts seek to reverse the unjust enrichment of borrowers when they retain the benefits of loans procured over a period without any payment for them at a reasonable rate.

40. In other words, the current position of the Court is that the mere fact that a lender is not licensed will not disentitle that lender to the interest agreed upon voluntarily by the parties, unless the Court finds that the agreed interest rate is harsh or unconscionable. In the instant case, the parties agreed on the monthly interest of Ghc1,000.00 and the evidence on record shows that the Defendant has made payment of the interest up until May 2023. The import therefore the amount of Ghc1,000.00 as montly interest may appear to be harsh and/or inconscionable, however, the Defendant agreed to such terms and made consistent payment up until May 2023. The Court will therefore not reopen the transaction to ensure that the interest is reasonable and conscionable as parties had voluntarily agreed to a monthly interest of Ghc1,000.00. Thus, the Defendant's default of the payment of monthly interest is from May 2023 till the date of final payment of the principal sum of Ghc39,000.00.

41. I observe further that the Defendant's default is as a result of certain misunderstanding between the parties that led to the eventual dispute between the parties. It is understandable that such dispute will arise because the Personal

Loan Agreement executed by both parties is full of ambiguities and did not incorporate the usual clauses required of a loan Agreement. As such, I again rely on the Contra Proferentem Rule which provides that if there is ambiguity in the wording of a contract, it should be construed against the party who drafted it. Per the evidence on record however, the Defendant was unable to substantiate her claims and prove her counterclaim on the balance of probabilities. In view of the above, I am unable to emphatically state that the Defendant and/or the Plaintiff is in breach of the agreement in its entirety.

42. Permit me, at this stage to advice parties on Agreements. The evidence on record shows that the both parties drafted and executed the Agreement without seeking the advice of a legal professional. It is the case of the Plaintiff that the loan amount was in United States Dollars, yet it was established during trial that the Plaintiff is not a licenced money lender. The **Foreign Exchange Act, 2006 (Act 723)** in Section 3 on the Requirement of licence provides;

1) *A person shall not engage in the business of dealing in foreign exchange without a licence issued under this Act.*
2) *The Bank shall prescribe the banks or other corporate bodies or persons that it considers competent to engage in the business of dealing in foreign exchange.*
3) *The Bank shall issue or renew a licence to engage in the business of dealing in foreign exchange subject to conditions that the Bank shall determine from time to time.*
4) *The business of dealing in foreign exchange includes the*

   (a)purchase and sale of foreign currency,

   (b)receipt or payment of foreign currency,

   (c)importation and exportation of foreign currency, and

*(d)**lending and borrowing of foreign currency.***

43. The Defendant on the other hand did not also appreciate the consequences of the Agreement she was signing. She simply accepted to sign the Agreement without paying any real attention to the contents or the consequences thereof. Unfortunately, signing such Agreements without reading or understanding the consequences could result in a potential financial and/or legal problem(s) that may probably negate any possibility complaining or raising issues at a later date. It is always advisable get a legal professional to offer strategic advice on whether signing the Agreement will be in ones best interest or if an alternative course of action should be pursued and may as well engage in negotiations with the opposing party to secure more favorable terms and protect ones interests.

44. In conclusion, from the foregoing, the Court finds and orders as follows;

(a) The Plaintiff's reliefs (a), (b), (d) and (e) are dismissed;

(b) The Plaintiff's relief (c) is granted but the interest shall be Ghc1,000.00 from May 2023 until the date the principal loan amount of Ghc39, 000.00 was paid by the Defendant.

(c) The Defendant's Counterclaim is dismissed; and

(d) There shall be no orders as to costs.

H/H HALIMAH EL-ALAWA ABDUL-BAASIT

CIRCUIT COURT JUDGE